We have made substantial progress in achieving political freedom. Our democracy has matured, with people confidently choosing to vote out governments that lose touch with their needs. Our institutions protecting the freedom to vote have grown stronger, with the Election Commission and the forces of law and order ensuring free and largely fair elections throughout the country. Political parties, NGOs, the press, and individuals exert checks and balances on public policy. And the judiciary has taken important steps to protect individual freedom.

Our economy is also far richer than it was at the time of independence and poverty has come down substantially. Of course, some countries like South Korea that were in a similar situation then are far better off today but many others have done far worse. Indeed, one of the advantages of a vibrant democracy is that it gives people an eject button which prevents governance from getting too bad. Democracy has probably ensured more stable and equitable economic growth than an authoritarian regime might have.

Yet a dispassionate view of both our democracy and our economy would suggest some concerns. Even as our democracy and our economy have become more vibrant, an important issue in the recent election was whether we had substituted the crony socialism of the past with crony capitalism, where the rich and the influential are alleged to have received land, natural resources and spectrum in return for payoffs to venal politicians. By killing transparency and competition, crony capitalism is harmful to free enterprise, opportunity, and economic growth. And by substituting special interests for the public interest, it is harmful to democratic expression. If there is some truth to these perceptions of crony capitalism, a natural question is why people tolerate it. Why do they vote for the venal politician who perpetuates it?

A HYPOTHESIS ON THE PERSISTENCE OF CRONY CAPITALISM